Accounting for Receivables

Chapter 7

Wild and Shaw

Financial and Managerial Accounting

2025 Release

© McGraw Hill LLC. All rights reserved. No reproduction or distribution without the prior written consent of McGraw Hill LLC.

Chapter 7 Learning Objectives

CONCEPTUAL

C1 Describe accounts receivable and how they occur and are recorded.

C2 Describe a note receivable, the computation of its maturity date, and the recording of its existence.

C3 Explain how receivables can be converted to cash before maturity.

ANALYTICAL

A1 Compute accounts receivable turnover and use it to help assess financial condition.

PROCEDURAL

P1 Apply the direct write-off method to accounts receivable.

P2 Apply the allowance method to accounts receivable.

P3 Estimate uncollectibles based on sales and accounts receivable.

P4 Record the honoring and dishonoring of a note and adjustments for interest.

© McGraw Hill LLC

Learning Objective C1

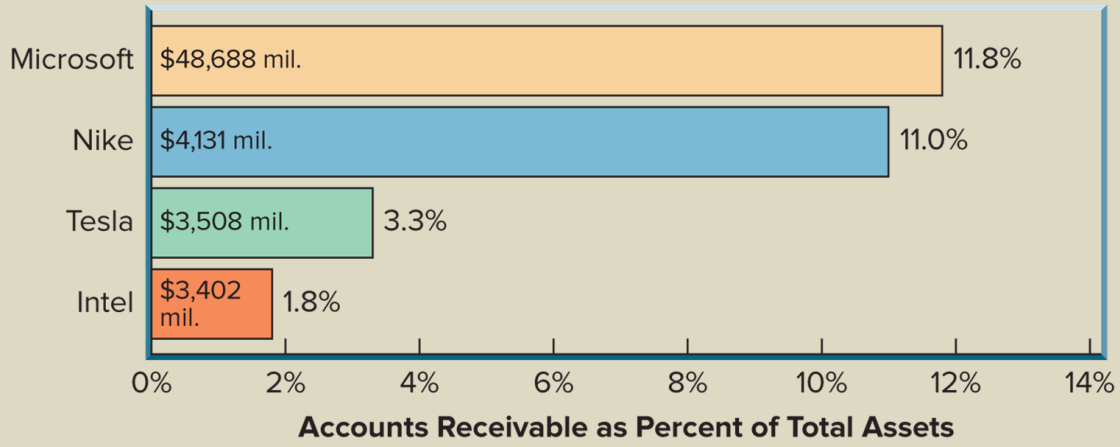
Describe accounts receivable and how they occur and are recorded.

© McGraw Hill LLC

Valuing Accounts Receivable

Exhibit 7.1

A receivable is an amount due from another party.



This graph shows recent dollar amounts of receivables and their percent of total assets for four well-known companies.

A company must also maintain a separate account for each customer that tracks how much that customer purchases, has already paid, and still owes.

Access the text alternative for slide images.

© McGraw Hill LLC

Sales on Credit: Journal Entries

On July 1, TechCom had a credit sale of $950 to CompStore and a collection of $720 from RDA Electronics from a prior credit sale.

July 1	Accounts Receivable—CompStore	950	
	Sales		950
	*Record credit sales.**		
July 1	Cash	720	
	Accounts Receivable—RDA Electronics		720
	Record collection of credit sales.		

*We omit the entry to Dr. Cost of Sales and Cr. Inventory to focus on sales and receivables.

Exhibit 7.3

© McGraw Hill LLC

Sales on Credit: Accounts Receivable Ledger

July 1	Accounts Receivable—CompStore	950	
	Sales		950
	*To record credit sales.**		
July 1	Cash	720	
	Accounts Receivable—RDA Electronics		720
	To record collection of credit sales.		

Exhibit 7.2

General Ledger

Accounts Receivable				
Date	PR	Debit	Credit	Balance
June 30		3,000		3,000

Accounts Receivable Ledger

RDA Electronics				
Date	PR	Debit	Credit	Balance
June 30		1,000		1,000

CompStore				
Date	PR	Debit	Credit	Balance
June 30		2,000		2,000

Schedule of Accounts Receivable

RDA Electronics	$1,000
CompStore	2,000
Total	$3,000

Access the text alternative for slide images.

© McGraw Hill LLC

Sales on Bank Credit Cards and Mobile Payments 1

Companies allow customers to pay using bank, credit or debit cards. Many also accept mobile payments through Apple Pay, Google Pay, PayPal, Venmo, and Cash App.

Companies allow these payments because seller:

- Does not have to decide who gets credit and how much.
- Avoids risk of non-payment.
- Receipt of cash is quicker than granting credit directly to customer.
- Allows more credit options for customers.

© McGraw Hill LLC

Sales on Bank Credit Cards and Mobile Payments 2

On July 15, TechCom has $100 of credit card sales with a 4% fee, and its $96 cash is received immediately on deposit.

July 15	Cash	96	
	Credit Card Expense	4	
	Sales		100
	*Record credit card sales less 4% credit card expense.**		

*We omit the entry to Dr. Cost of Sales and Cr. Inventory to focus on credit card expense.

© McGraw Hill LLC

Learning Objective P1

Apply the direct write-off method to accounts receivable.

© McGraw Hill LLC

Bad Debts

Some customers may not pay their account. Uncollectible amounts are referred to as bad debts.

There are two methods of accounting for bad debts:

- Direct Write-Off Method
- Allowance Method

© McGraw Hill LLC

Direct Write-Off Method – Recording and Writing Off Bad Debts

TechCom determines on January 23 that it cannot collect $520 owed to it by its customer J. Kent.

Jan. 23	Bad Debts Expense	520	
	Accounts Receivable—J. Kent		520
	Write off an uncollectible account.		

Notice that the specific customer is noted in the transaction so we can make the proper entry in the customer's Accounts Receivable subsidiary ledger.

© McGraw Hill LLC

Direct Write-Off Method – Recovering a Bad Debt

On March 11, J. Kent was able to make full payment to TechCom for the amount previously written-off.

Mar. 11	Accounts Receivable—J. Kent	520	
	Bad Debts Expense		520
	Reinstate account previously written off.		
Mar. 11	Cash	520	
	Accounts Receivable—J. Kent		520
	Record full payment of account.		

© McGraw Hill LLC

Using the Direct Write-Off Method

Expense recognition principle requires expenses to be reported in the same accounting period as the sales they helped produce.

Materiality constraint permits direct write-off method if results approximate results using the allowance method.

The direct write-off method usually is not the best match of sales and expenses.

© McGraw Hill LLC

Learning Objective P2

Apply the allowance method to accounts receivable.

© McGraw Hill LLC

Allowance Method

At the end of each period, estimate total bad debts expected to be realized from that period's sales.

Advantages:

1. Records estimated bad debts expense in the period when the related sales are recorded.
2. Reports accounts receivable on balance sheet at the estimated amount of cash to be collected.
3. Write-offs do not affect net receivables or income.

Disadvantage:

1. Estimates are needed.

© McGraw Hill LLC

Allowance Method – Recording Bad Debts Expense

TechCom had credit sales of $300,000 during its first year of operations. At the end of the first year, $20,000 of credit sales remained uncollected. Based on the experience of similar businesses, TechCom estimated that $1,500 of its accounts receivable would be uncollectible.

Dec. 31	Bad Debts Expense	1,500	
	Allowance for Doubtful Accounts		1,500
	Record estimated bad debts.		

Accounts Receivable			
Dec. 31	20,000		

Allowance for Doubtful Accounts			
		Dec. 31	1,500

© McGraw Hill LLC

Balance Sheet Presentation

TechCom had credit sales of $300,000 during its first year of operations. At the end of the first year, $20,000 of credit sales remained uncollected. Based on the experience of similar businesses, TechCom estimated that $1,500 of its accounts receivable would be uncollectible.

Current assets		
Accounts receivable	**$20,000**	
Less allowance for doubtful accounts	**1,500**	**$18,500**

or

Current assets	
Accounts receivable (net of $1,500 doubtful accounts)	**$18,500**

© McGraw Hill LLC

Allowance Method – Writing Off a Bad Debt

TechCom has determined that J. Kent's $520 account is uncollectible.

Jan. 23	Allowance for Doubtful Accounts	520	
	Accounts Receivable—J. Kent		520
	Write off an uncollectible account.		

Accounts Receivable			
Dec. 31	20,000	Jan. 23	**520**

Allowance for Doubtful Accounts			
		Dec. 31	1,500
Jan. 23	**520**		

© McGraw Hill LLC

Writing Off a Bad Debt

Exhibit 7.5

The write-off does not affect the realizable value of accounts receivable.

	Before Write-Off	After Write-Off
Accounts receivable	$20,000	$19,480
Less allowance for doubtful accounts	1,500	980
Realizable value of accounts receivable	**$18,500**	**$18,500**

© McGraw Hill LLC

Allowance Method – Recovering a Bad Debt

To help restore credit standing, a customer sometimes pays all or part of the amount owed on an account even after it has been written off.

On March 11, Kent pays in full the $520 account previously written off.

Mar. 11	Accounts Receivable—J. Kent	520	
	Allowance for Doubtful Accounts		520
	Reinstate account previously written off.		
Mar. 11	Cash	520	
	Accounts Receivable—J. Kent		520
	Record full payment of account.		

© McGraw Hill LLC

Allowance vs. Direct Write-Off

Direct Write-off Method:

1. No adjusting entry is required.
2. Write-off includes debit to Bad Debts Expense
3. Recovery includes credit to Bad Debts Expense.

Allowance Method:

1. Adjusting entry is required.
2. Write-off includes debit to Allowance for Doubtful Accounts.
3. Recovery includes credit to Allowance for Doubtful Accounts.

	Direct Write-Off Method				Allowance Method			
Period End Adjusting Entry	No adjusting entry				Dec. 31	Bad Debts Expense	1,500	
						Allowance for Doubtful Accounts		1,500
Writing Off a Bad Debt	Jan. 23	Bad Debts Expense	520		Jan. 23	Allowance for Doubtful Accounts	520	
		Accounts Receivable–J. Kent		520		Accounts Receivable–J. Kent		520
Recovering a Bad Debt	Mar. 11	Accounts Receivable–J. Kent	520		Mar. 11	Accounts Receivable–J. Kent	520	
		Bad Debts Expense		520		Allowance for Doubtful Accounts		520
	Mar. 11	Cash	520		Mar. 11	Cash	520	
		Accounts Receivable–J. Kent		520		Accounts Receivable–J. Kent		520

Access the text alternative for slide images.

© McGraw Hill LLC

Learning Objective P3

Estimate uncollectibles based on sales and accounts receivable.

© McGraw Hill LLC

Estimating Bad Debts Expense

Two Methods

1. **Percent of Sales Method**
2. **Balance Sheet Methods–Accounts Receivable**
   - **Percent of Accounts Receivable**
   - **Aging of Accounts Receivable**

© McGraw Hill LLC

Percent of Sales Method

Bad debts expense is computed as follows:

	Current Period Sales
×	**Bad Debt %**
=	**Estimated Bad Debts Expense**

© McGraw Hill LLC

Percent of Sales Method: Example

Musicland has credit sales of $400,000 in 2027. It is estimated that 0.6% of credit sales will eventually prove uncollectible.

Let's look at recording Bad Debts Expense for 2027.

	$	400,000
×		0.6%
=	$	2,400

Musicland's accountant computes estimated Bad Debts Expense of $2,400.

Dec. 31	Bad Debts Expense	2,400	
	Allowance for Doubtful Accounts		2,400
	Record estimated bad debts.		

© McGraw Hill LLC

Percent of Receivables Method

Compute the estimate of the Allowance for Doubtful Accounts which will give you an estimate of Bad Debts Expense.

Year-end Accounts Receivable × Bad Debt %

Bad Debts Expense is computed as:

Total Estimated Bad Debts Expense
− Previous Balance in Allowance Account
= Current Bad Debts Expense

© McGraw Hill LLC

Percent of Receivables Method: Example

Musicland has $50,000 in accounts receivable and $200 credit balance in Allowance for Doubtful Accounts. Five percent of receivables are uncollectible. $50,000 × 5% = $2,500 ending balance.

Exhibit 7.7

Allowance for Doubtful Accounts			
		Dec. 31, 2026, bal.	2,200
July 10	1,500		
Nov. 20	500		
		Unadjusted bal.	200
		Dec. 31 adjustment	**2,300**
		Dec. 31, 2027, bal.	2,500

Current-year write-offs

Prior-year estimate of allowance for doubtful accounts

Adjusting entry

Current-year estimate of allowance for doubtful accounts

Dec. 31*	Bad Debts Expense	2,300	
	Allowance for Doubtful Accounts		2,300
	Record estimated bad debts.		

*The adjusting entry applies our three-step adjusting entry process:
Step 1: Current balance for Allowance account is $200 credit.
Step 2: Current balance for Allowance account should be $2,500 credit.
Step 3: Record entry to get from step 1 to step 2.

Access the text alternative for slide images.

© McGraw Hill LLC

Aging of Receivables Method

Classify each receivable by how long it is past due.

Each age group is multiplied by its estimated bad debts percentage.

Estimated bad debts for each group are totaled.

© McGraw Hill LLC

Aging of Accounts Receivable: Musicland

Exhibit 7.8

MUSICLAND
Schedule of Accounts Receivable by Age
December 31, 2027

Customer	Totals	Not Yet Due	1 to 30 Days Past Due	31 to 60 Days Past Due	61 to 90 Days Past Due	Over 90 Days Past Due
Carlie Abbott	$ 5,890	$ 5,890				
Jamie Allen	710			$ 710		
Chavez Andres	10,500	10,300	$ 200			
Balicia Company	2,800				$1,900	$ 900
Texas Rawhide	9,100		6,110	2,990		
Zem Services	21,000	20,810	190			
Total receivables	$50,000	$37,000	$6,500	$3,700	$1,900	$ 900
Percent uncollectible		× 2%	× 5%	× 10%	× 25%	× 40%
Estimated uncollectible	$ 2,270	$ 740	$ 325	$ 370	$ 475	$ 360

Each receivable is grouped by how long it is past its due date.

Each age group is multiplied by its estimated bad debts percent.

Estimated bad debts for each group are totaled.

Access the text alternative for slide images.

© McGraw Hill LLC

Aging of Accounts Receivable: Adjusting Entry with Credit Balance

Exhibit 7.9

Step 1: Current account balance equals	Unadjusted balance	$ 200 **credit**
Step 2: Determine what account balance should be	Estimated balance.	2,270 **credit**
Step 3: Make adjustment to get from step 1 to step 2	**Required adjustment**	**$2,070 credit**

Allowance for Doubtful Accounts	
Unadj. bal.	200
Req. adj.	**2,070**
Est. bal.	2,270

Dec. 31	Bad Debts Expense	**2,070**	
	Allowance for Doubtful Accounts		**2,070**
	Record estimated bad debts.		

Assets = Liabilities + Equity
−2,070 −2,070

Access the text alternative for slide images.

© McGraw Hill LLC

Aging of Accounts Receivable: Adjusting Entry with Debit Balance

Step 1: Current account balance equals	Unadjusted balance	$ 500 **debit**
Step 2: Determine what account balance should be	Estimated balance	2,270 **credit**
Step 3: Make adjustment to get from step 1 to step 2	**Required adjustment**	**$2,770 credit**

Allowance for Doubtful Accounts

Unadj. bal.	500		
		Req. adj.	**2,770**
		Est. bal.	2,270

Dec. 31	Bad Debts Expense	**2,770**	
	Allowance for Doubtful Account		**2,770**
	Record estimated bad debts.		

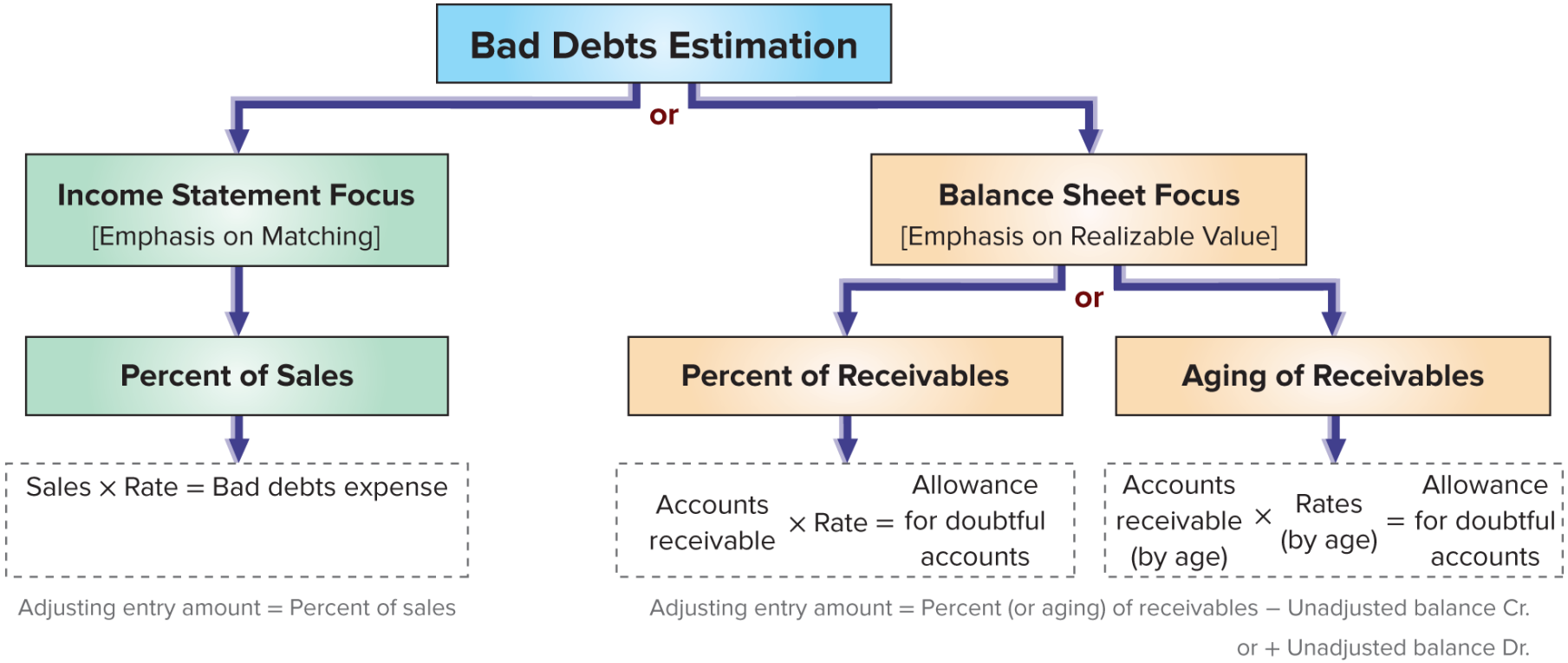
Assets = Liabilities + Equity
−2,770 −2,770

Access the text alternative for slide images.

© McGraw Hill LLC

Estimating Bad Debts – Summary of Methods

Exhibit 7.10



Access the text alternative for slide images.

© McGraw Hill LLC

Learning Objective C2

Describe a note receivable, the computation of its maturity date, and the recording of its existence.

© McGraw Hill LLC

Notes Receivable

A **promissory note** is a written promise to pay a specified amount of money, usually with interest, either on demand or at a stated future date.

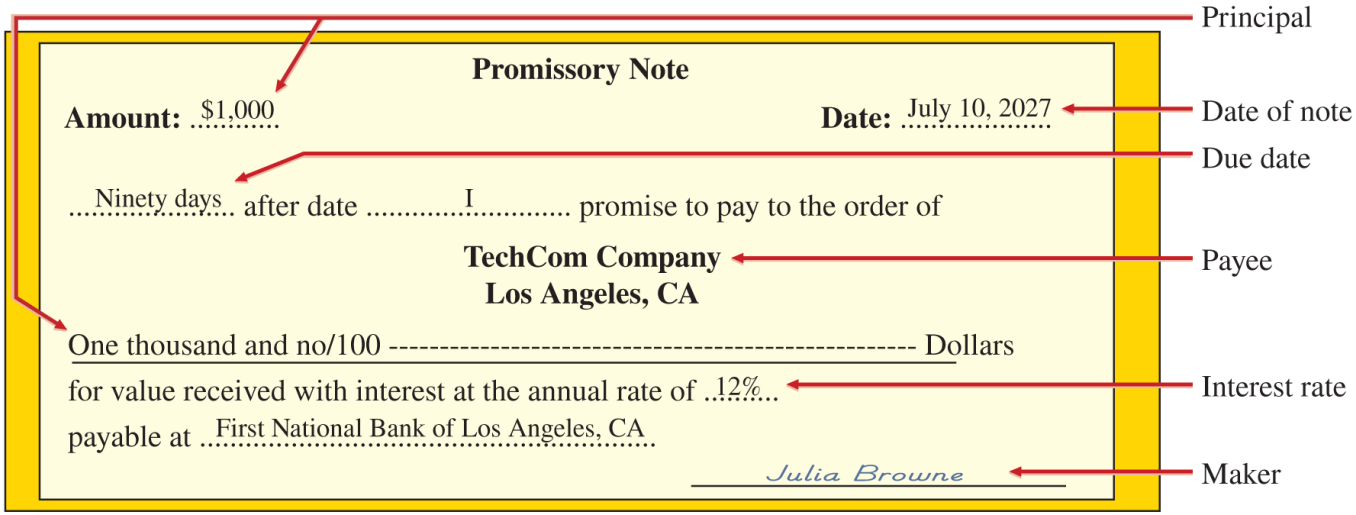


Exhibit 7.11

Access the text alternative for slide images.

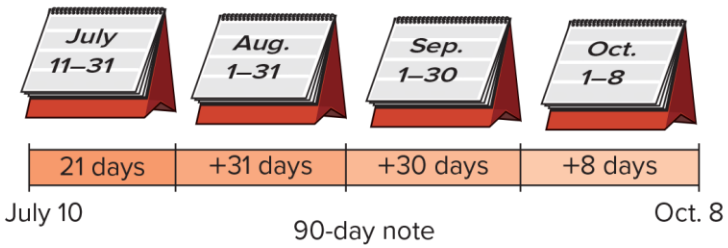
© McGraw Hill LLC

Computing Maturity Date

The maturity date of a note is the day the note (principal and interest) must be repaid.

Exhibit 7.12

On July 10, TechCom received a $1,000, 90-day, 12% promissory note as a result of a sale to Julia Browne.



Days in July	31	
Minus the date of the note	10	
Days remaining in July	21	July 11–31
Add days in August	31	Aug. 1–31
Add days in September	30	Sep. 1–30
Days to equal 90 days, or **maturity date of October 8**	8	Oct. 1–8
Period of the note in days	90	

The note is due and payable on October 8.

Access the text alternative for slide images.

© McGraw Hill LLC

Interest Computation

Exhibit 7.13

Principal of the note	×	Annual interest rate	×	Time expressed in fraction of year	=	Interest

Even for maturities less than one year, the rate is annualized.

If the note is expressed in days, base a year on 360 days using the "banker's rule."

$$\$1,000 \times 12\% \times \frac{90}{360} = \$1,000 \times 0.12 \times 0.25 = \$30$$

© McGraw Hill LLC

Access the text alternative for slide images.

Recording Notes Receivable

Notes receivable are usually recorded in a single Notes Receivable account to simplify recordkeeping. The original notes are kept on file, including information on the maker, rate of interest, and due date.

To illustrate the recording for the receipt of a note, we use the $1,000, 90-day, 12% promissory note from Julia Browne to TechCom. TechCom received this note at the time of a product sale to Julia Browne.

July 10*	Notes Receivable	1,000	
	Sales		1,000
	Sold goods in exchange for a 90-day, 12% note.		

*We omit the entry to Dr. Cost of Sales and Cr. Inventory to focus on sales and receivables.

© McGraw Hill LLC

Notes Receivable in Acceptance of Past-Due Accounts Receivable

A seller may accept a note receivable from an account receivable customer to allow an extension to pay a past-due accounts receivable.

To illustrate, assume TechCom agreed to accept $232 in cash along with a $600, 60-day, 15% note from Jo Cook to settle her $832 past-due account.

Oct. 5	Cash	232	
	Notes Receivable	600	
	Accounts Receivable—J. Cook		832
	Received cash and note to settle account.		

© McGraw Hill LLC

Learning Objective P4

Record the honoring and dishonoring of a note and adjustments for interest.

© McGraw Hill LLC

Recording an Honored Note

The principal and interest of a note are due on its maturity date.

J. Cook has a $600, 15%, 60-day note receivable due to TechCom on December 4.

Dec. 4	Cash	615	
	Notes Receivable		600
	Interest Revenue		15
	Collect note with interest of $600 × 15% × 60⁄360.		

© McGraw Hill LLC

Recording a Dishonored Note

The act of dishonoring a note does not relieve the maker of the obligation to repay the principal and interest due.

J. Cook has a $600, 15%, 60-day note receivable due to TechCom on December 4.

Dec. 4	Accounts Receivable—J. Cook	615	
	Interest Revenue		15
	Notes Receivable		600
	Charge account of J. Cook for a dishonored note and interest of $600 × 15% × 60⁄360.		

© McGraw Hill LLC

Recording End-of-Period Interest Adjustment: 12/31

On December 16, TechCom accepts a $3,000, 60-day, 12% note from a customer in granting an extension on a past-due account. When TechCom's accounting period ends on December 31, $15 of interest has accrued on the note.

$$\$3{,}000 \times 12\% \times 15/360 = \$15$$

Dec. 31	Interest Receivable	15	
	Interest Revenue		15
	Record accrued interest earned.		

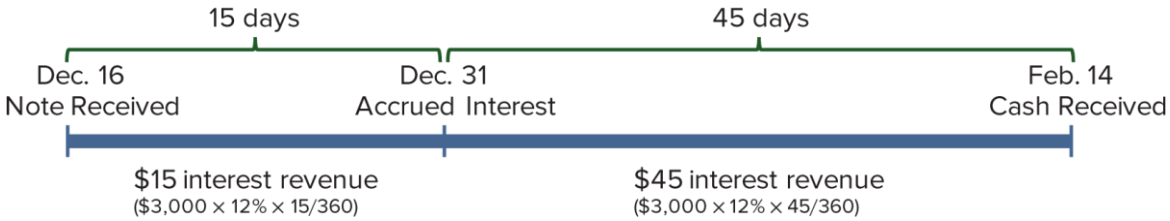
© McGraw Hill LLC

Recording End-of-Period Interest Adjustment: 2/14

Days in December	**31**	
Minus the date of the note	**16**	
Day remaining in December		**15**
Days in January		**31**
Days in February		**14**
Period of the note in days		**60**

Recording collection on note at maturity.

Feb. 14	Cash	3,060	
	Interest Revenue		45
	Interest Receivable		15
	Notes Receivable		3,000
	Received payment of note and its interest.		



Access the text alternative for slide images.

© McGraw Hill LLC

Learning Objective C3

Explain how receivables can be converted to cash before maturity.

© McGraw Hill LLC

Disposal of Receivables

Companies can convert receivables to cash before they are due.

Selling Receivables

Aug. 15	Cash	19,200	
	Factoring Fee Expense	800	
	Accounts Receivable		20,000
	Sold accounts receivable for cash less 4% fee.		

Pledging Receivables

Aug. 20	Cash	35,000	
	Notes Payable		35,000
	Borrow with a note secured by pledging receivables.		

© McGraw Hill LLC

Learning Objective A1

Compute accounts receivable turnover and use it to help assess financial condition.

© McGraw Hill LLC

Accounts Receivable Turnover

This ratio provides useful information for evaluating how efficient management has been in granting credit to produce revenue.

Exhibit 7.14

$$\text{Accounts receivable turnover} = \frac{\text{Net sales}}{\text{Average accounts receivable, net}}$$

Exhibit 7.15

Company	Figure ($ millions)	Current Year	1 Year Ago	2 Years Ago
Visa	Net sales	$32,653	$29,310	$24,105
	Average accounts receivable, net	$ 2,156	$ 1,994	$ 1,793
	Accounts receivable turnover	**15.1**	**14.7**	**13.4**
Mastercard	Net sales	$25,098	$22,237	$18,884
	Average accounts receivable, net	$ 3,743	$ 3,216	$ 2,826
	Accounts receivable turnover	**6.7**	**6.9**	**6.7**

© McGraw Hill LLC

Because learning changes everything.®

www.mheducation.com

© McGraw Hill LLC. All rights reserved. No reproduction or distribution without the prior written consent of McGraw Hill LLC.